

ESG Intelligence Briefing — August 30, 2026

Executive Summary

This briefing highlights the deepening impact of the EU's Carbon Border Adjustment Mechanism (CBAM) on Kazakhstan steel exporters, with potential costs exceeding €100 million annually, and the recent implementation of Kazakhstan's own Construction Code. Globally, 2026 marks a pivotal year for construction materials, with shifting procurement rules, mandatory carbon disclosure, and performance-based standards driving innovation in low-carbon concrete and hydrogen-reduced steel. Clients must prioritize granular carbon accounting and strategic material sourcing to mitigate risks and capitalize on emerging green market opportunities.

What Changed Since Last Briefing

The pressure from the EU CBAM on Kazakhstan exporters continues to intensify, with new estimates solidifying the significant financial impact on steel. Kazakhstan's new Construction Code has come into full effect. A key development is the global shift in material standards and procurement, where carbon performance is now a primary competitive differentiator, moving beyond mere aspirational goals. Unfortunately, our automated embodied carbon assessment tool experienced a technical error, preventing a specific project LCA from being included in this briefing.

1. Regulation Watch

- **EU CBAM Financial Impact on Kazakhstan Steel:** The annual cost of the EU's Carbon Border Adjustment Mechanism for exports of steel products from Kazakhstan is estimated to exceed **€100 million**. Kazakhstan is actively assessing these risks, underscoring the immediate financial and operational imperative for steel exporters to understand and mitigate their embodied carbon footprint. This directly impacts Kazakhstan's goal to reduce net emissions by 25% by 2030 compared to 1990 levels. (Source: gmk.center web search summary, August 21, 2026; gmk.center web search summary, August 26, 2026).
- **Who it affects:** Kazakhstan steel manufacturers and exporters to the EU, as well as construction developers and contractors sourcing steel internationally.
- **Effective date:** Full CBAM implementation with financial adjustments is nearing (transitional period is ongoing).
- **Business implication:** Urgent need for Kazakhstan steel producers to measure and reduce embodied carbon to maintain competitiveness and avoid significant tax liabilities. Construction clients sourcing from Kazakhstan must factor in CBAM costs.
- **Kazakhstan Construction Code (No. 253-VIII ZRK):** Effective January 9, 2026, and amended on June 11, 2026, this new code governs all aspects of architectural, town-planning, and construction activities in the Republic of Kazakhstan. It aims to form a "full-fledged habitat and life activity of the person" and ensure the "safety of construction objects at all stages of their lifecycle." While the provided text doesn't detail specific green building mandates, the emphasis on habitat and environmental considerations signals a foundational shift towards more holistic and potentially sustainable practices. (Source: [cis-legislation.com, "Construction code of the Republic of Kazakhstan"](<https://cis-legislation.com/document.fwx?rgn=172389>), January 9, 2026).
- **Who it affects:** All construction developers, contractors, designers, and manufacturers operating within Kazakhstan.
- **Effective date:** January 9, 2026 (amended June 11, 2026).

- **Business implication:** Companies must ensure full compliance with the updated national construction framework, anticipating future sustainability-specific regulations that may build upon this foundational code.
- **Global Procurement and Disclosure Shifts for Steel and Concrete:** From 2026, demand for lower-carbon steel and concrete is increasingly shaping EU and UK procurement. Public construction and infrastructure frameworks are rewarding transparency and prioritizing low-emissions performance, making carbon data essential. Carbon accounting is becoming a business baseline, influencing procurement criteria, trade recognition, and access to finance. Scrutiny is intensifying around accounting approaches and their credibility in demonstrating actual emissions reductions. (Source: [theclimategroup.org, "2026 is the year that the rules are changing for steel and concrete"](<https://www.theclimategroup.org/our-work/news/2026-year-rules-are-changing-steel-and-concrete>), January 28, 2026).
- **Who it affects:** Global construction companies, material manufacturers, and any client looking to compete in markets with strong sustainability requirements.
- **Effective date:** From 2026 onwards.
- **Business implication:** Companies must develop robust carbon accounting systems and transparently report embodied carbon to remain competitive and access key markets and financing.

2. Construction & Market News

Global low-carbon construction projects in 2026 are emphasizing scalable innovations. Calcined clay is becoming a key supplementary cementitious material (SCM) that can halve the CO₂ footprint of cement without compromising performance, signaling a growing trend in material innovation. Similarly, the steel industry is seeing green hydrogen-based Direct Reduced Iron (DRI) moving beyond pilot projects towards commercial production, with significant deals emerging. These developments highlight a global acceleration towards material decarbonization, driven by both market demand and technological maturity. (Source: holcim.com web search summary, "5 construction innovations to watch in 2026"; theclimategroup.org, "2026 is the year that the rules are changing for steel and concrete", January 28, 2026).

3. ESG Disclosure Signals

ESG reporting in the construction sector for 2026 is increasingly focused on strategic outcomes, digital integration, and circular economy practices. Companies are moving from formal risk management to leveraging ESG as a profit driver, with an emphasis on measurable impacts and sustainable innovation. Social impact, alongside environmental goals, is gaining prominence. This signals a maturation of ESG reporting, demanding more rigorous data and a clear link to business value. (Source: LinkedIn, Anna Minakova post, "2026 Construction Trends: ESG, Efficiency, and Sustainability", web search summary).

4. Embodied Carbon Spotlight

Automated LCA unavailable due to tool error. The following section discusses general trends and implications.

The rules for steel and concrete are fundamentally changing in 2026. **Performance-based standards** are gaining traction, allowing for innovation in material blends (e.g., new cements using calcined clay) by focusing on strength and durability rather than rigid ingredient lists. This shift is critical for accelerating the adoption of low-carbon alternatives. For steel, **green hydrogen-based DRI** is progressing from pilots to commercial viability, offering a pathway to near-zero primary steel production. Investor scrutiny is also intensifying, with developers and building owners integrating embodied carbon into material choices to future-proof assets and meet internal targets. Data centers, due to their scale and repetitive nature, are leading the charge in demanding low-carbon concrete.

These trends mean that embodied carbon is no longer a niche concern but a central aspect of material procurement, design, and investment decisions. Understanding and reporting cradle-to-gate (A1-A3) embodied

carbon is becoming a competitive necessity, especially for materials impacted by regulations like CBAM.

Embodied Carbon Trends

The industry is seeing a clear shift towards **performance-based standards** for concrete, moving away from prescriptive mix designs. This opens the door for innovative supplementary cementitious materials (SCMs) like calcined clay to reduce cement's CO₂ footprint by up to 50%. In steel, **green hydrogen** is becoming a viable pathway for primary steel decarbonization, with hydrogen-DRI production moving towards commercial scale from 2026. This indicates a growing confidence in such technologies and a move towards genuinely low-carbon primary materials. The increased availability of Environmental Product Declarations (EPDs) with detailed embodied carbon data is also critical, enabling more accurate project LCAs and informed material selection.

Recommended Actions

- 1. Quantify CBAM Exposure for Steel Exports:** Kazakhstan steel manufacturers and exporters must immediately assess and quantify the embodied carbon of their products to accurately project CBAM liabilities. Invest in verified carbon accounting and EPDs.
- 2. Explore Low-Carbon Steel & Concrete Sourcing:** For projects subject to EU procurement rules or investor scrutiny, prioritize sourcing steel from EAF (Electric Arc Furnace) routes using recycled scrap, or investigate emerging green hydrogen steel. For concrete, specify mixes with high SCM content (e.g., calcined clay, GGBS) enabled by performance-based standards.
- 3. Integrate Embodied Carbon into Project Design:** Leverage new performance-based concrete standards by engaging designers and engineers early to optimize material choices for lower embodied carbon, rather than defaulting to traditional prescriptive mixes.
- 4. Strengthen ESG Reporting for Commercial Advantage:** Move beyond compliance-only ESG reporting. Develop robust, measurable ESG strategies that highlight specific embodied carbon reductions and circular economy initiatives, linking them to business value to attract investment and market share.
- 5. Monitor Kazakhstan Code Developments:** Stay alert for new decrees or guidelines under Kazakhstan's recently enacted Construction Code that may introduce explicit green building or sustainability requirements, preparing for proactive compliance.

Sources

- gmk.center web search summary, "Kazakhstan assesses risks for exporters under CBAM", August 26, 2026
- gmk.center web search summary, "The annual cost of the CBAM for exports of steel products from Kazakhstan could exceed €100 million", August 21, 2026
- <https://cis-legislation.com/document.fwx?rgn=172389>
- <https://www.theclimategroup.org/our-work/news/2026-year-rules-are-changing-steel-and-concrete>
- holcim.com web search summary, "5 construction innovations to watch in 2026"
- LinkedIn, Anna Minakova post, "2026 Construction Trends: ESG, Efficiency, and Sustainability", web search summary

Generated by the ESG Intelligence Agent on August 30, 2026. Embodied-carbon figures are indicative cradle-to-gate (A1-A3) estimates — verify with product-specific EPDs before formal reporting.